contracting infection if strangers work in closed spaces, a large chunk of office real estate occupied by IT, finance and other industries remained unused, with managers and workers being asked to work from home. While offices may see some normality when the risk of COVID-19 abates, working from anywhere, from home or the office, has likely become the new normal. This will reduce demand for commercial office space and the industry might not see double-digit growth in times to come. The hospitality segment of commercial real estate might also witness similar downward demand. However, thanks to e-commerce and digital working rising rapidly, there is likely to be much higher growth for data centres, warehousing and local common co-working spaces. The demand for better and bigger homes —to live and to work from—has grown over since the onset of COVID-19 while the demand for affordable housing has slowed down. On the whole, it appears the pandemic might have a long-term positive impact on residential real estate as millions of white-collar workers reshape their homes to make them suitable for work.

It must be noted that the real-estate industry is extremely important for India's economic growth with construction contributing about 6 per cent of GVA and the industry providing millions of jobs.

Fundamental Cause of Crisis in Residential Real Estate

In the past three decades, most spectacularly after 2003, residential real-estate markets and businesses in India were built on steroids of large capital gains and black money. From 2003 to 2011, stories of residential plot prices doubling every three to four years and residential houses/flats giving 20–30 per cent returns per annum in most urban markets were common and driving the frenzy of investing in real estate. This bull market invited all kind of finance—individual savings; speculators borrowing as much as possible from banks and others; politicians and officials deploying proceeds of corruption and black income; and businessmen diverting funds from